



IIT ROORKEE



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CERTIFICATION COURSE

Mercantilism

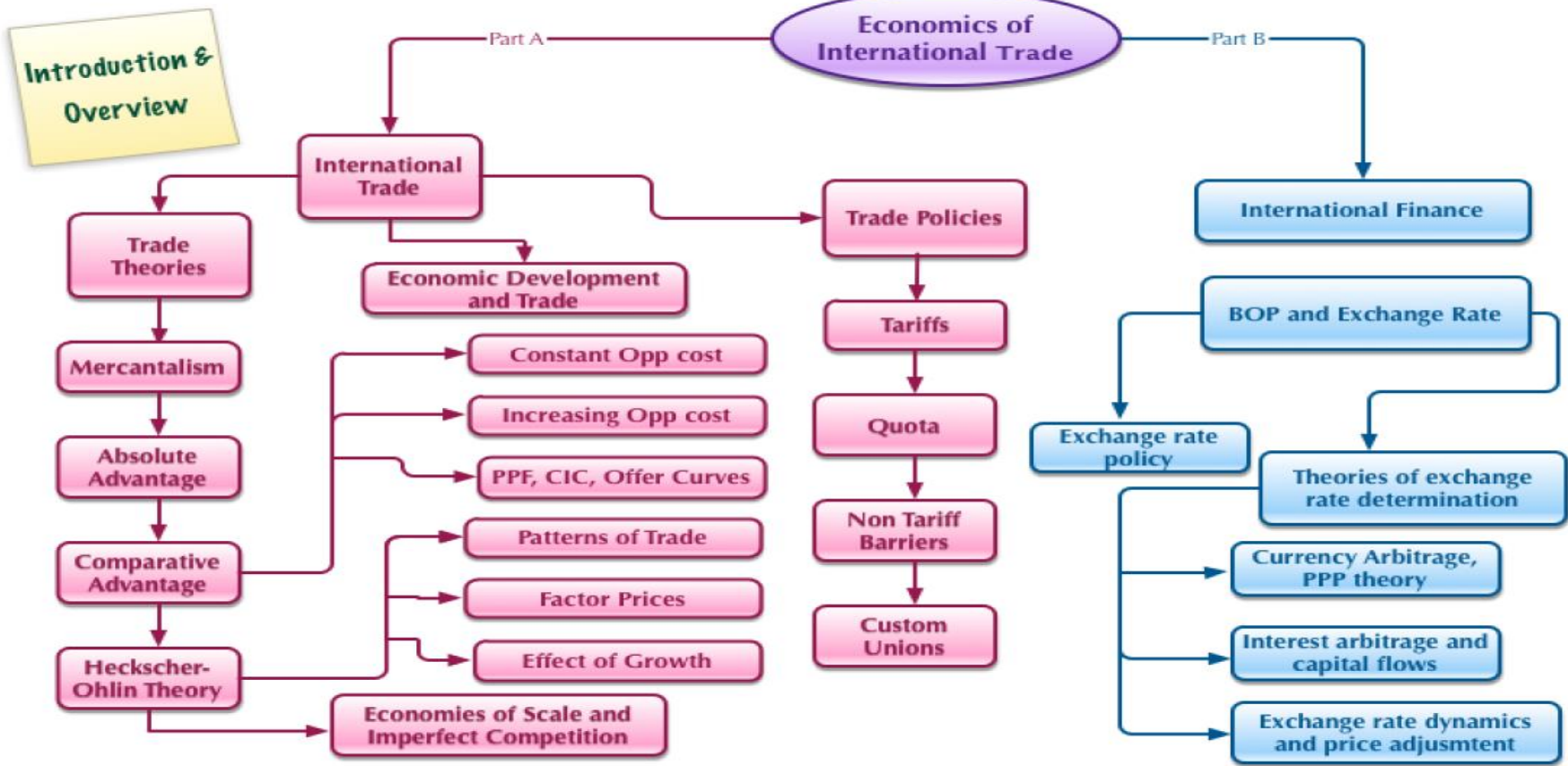
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Readings:

- Dominick Salvatore (DS): International Economics, Wiley-India, 10th Edition (**Text Book**)
- Robert Carbough (RC): International Economics: Cengage Learning, 11th Edition
- Krugman & Obstfeld (KO): International Economics: Theory and Policy, Pearson, 8th edn.
- World Trade Organization, 'International Trade Statistics' (ITS), Geneva, various years.
- RBI, GDCIS and IMF reports



What is Mercantilism?

- a country's power depended mainly on its **wealth** to build **strong navies** and purchase **vital trade goods**.
- Mercantilism had no systematic, comprehensive, consistent treatise, no leader, common method, or theory.
- "Protectionism" is often seen as a primary characteristic of Mercantilism.
- The primary objective of Mercantilism was to increase the power of the nation state.
- The states that followed a policy of mercantilism tended to see trade, colonialism and conquest as the primary ways of increasing wealth.
- The Term "Mercantilism" was coined by Maquis de Mirabeau (a physiocrat)
- It is a system closely associated with the rise of nations and the concept of Nationalism

When? Where?

- 16th – 18th C
- In Poland: 17th C
- Western Europe, particularly England and France
- Roughly from the 1600-1800
- It was a system prevalent in:
 - France
 - Spain
 - England
 - Holland

Historical Background of Mercantilism

- Generally, Mercantilism is associated with the rise of the “Nation state.”
- Feudal institutions were weakened by the increasing use of money and a greater reliance on exchange within the economy.
- The Protestant Reformation weakened the role of the church and consequently the civil role of the state was expanded
- There was a rise of Humanism (the concern for well-being of humans in the short term).

- The decline of feudalism was influenced by changes in technology
 - “enclosure movement” and the commercialization of agriculture
 - Increasing use of money in the economy reduced the role of barter and reciprocity, people wanted to sell or work for money
 - nailed horse shoe, harness, stirrup, horse collar, heavy plough
 - three-field system [1 field winter crop, 1 field spring crop, third lying fallow] extended area peasant could farm by $1/8$, 50% increase in output
 - rise of mechanical power [water, wind] used in textile and mining
 - urbanization

- rise of markets and fairs
- gunpowder
- improvements in navigation, shipping, transport
- moveable type, (standardization, mass production and marketing of books in a variety of languages)
- mechanical clocks, mechanisms, instruments,
Increased skills of craftsmen who made machines

Main Points of Mercantilism

- Economics as applied statecraft
- Promotion of National wealth and power
- Importance of trade surpluses
- Trade surplus leads to a net gold inflow, and thereby to greater national wealth and power
- Analogy between nations and households
- Encourage domestic production and exports, discourage imports

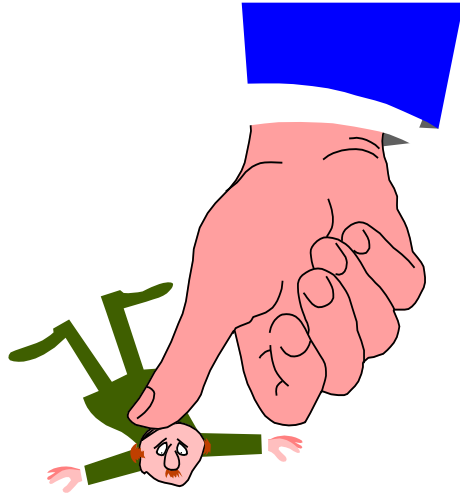
- Economics as statecraft not analysis
- Tendency to see gold and “treasure” as constituting national wealth
- Emphasis on balance of trade surpluses
- Emphasis on maximizing productivity and output
- Trade as a zero sum game
- Role of government in encouraging domestic manufacturing and exports while minimizing imports
- Link between money supply and prices

Bullionism



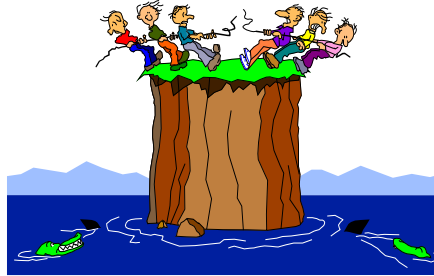
- Belief that economic health of a nation is measured by the amount of precious metals (gold and silver) it possesses
- Spain is the Richest country because of the gold and silver from its colonies in Latin America

Colonies



- Are important because:
 - provide raw materials
 - are forbidden from purchasing manufactured goods unless they come from the “mother” country
 - can provide workers

The Seas



- NEED to be protected since they are the lifeline to commerce
 - In England: Sir Walter Raleigh
 - In Spain the Pirate Raleigh

Population



- Discourage Young people from entering the clergy
- Gave TAX breaks to families with over 10 children

Physiocrats

- Group of individuals who claimed to be economists. Important in that they introduced the label to the profession.
- However, afterwards as the profession evolved it was recognized that they were a **school of thought** and they were renamed the Physiocrats.
- They were called so because assumed Natural Laws governed the economy
- Among the great contribution of the Physiocrats was that they introduce to the profession the importance of building theories based on models where analysis was done by isolating one or more variables in the economy
- Economy was Agriculture based



Physiocratic Policy

- The advocated **capital** accumulation as essential for economic growth
- At the same time they wanted the state (government) to also flourish
- Consequently, they looked at those things which could do both and focused on
 - Taxation
 - Trade
- At the time a large burden of the tax was on farmers
- They argued that for capital accumulation to occur it should be the recipients of the benefits of capital accumulation who should pay the tax not the producers of it
- Consequently, they argued for large tax increase on landowners and lowering tax on farmers
- They were not against Landowners, they argued that the increase in economic growth would increase Landowners wealth beyond the burden of the tax
- They saw the trade restrictions of the Mercantilist as imposing a large burden on the economic growth so they argued for free trade



Criticism of the Physiocrats

- There are two basic criticism of them:
 - Theories were not based on the facts of their time
 - Their theories were basically normative
- They considered only the farmers to have the capacity of producing a surplus above necessary cost.
- To them manufacturing was a sterile since it was incapable of producing this surplus



Two Ways to Increase a Nations Wealth

- obtain as much gold and silver as possible
- establish a favorable balance of trade, in which it sold more goods than in bought



Mercantilism Explained

- colonies existed for the benefit of the Mother Country
- Source of Raw materials = **cheap**
- shipped to M. C. to be turned into finished goods
- Finished good shipped to Colony = **expensive**
- profit goes to M. C.
- Pass laws forbidding colonies from producing their own goods



Mercantilism = unfair or unbalanced trade

Triangular Trade

- Europeans transported manufactured goods to the west coast of Africa



Triangular Trade

- Traders then exchanged these goods for captured Africans who were then sold in the Americas
- Merchants then bought sugar, coffee, and tobacco in the West Indies and sailed back to Europe to sell these products.



Long Term Results

- global trade routes shifted over time
- the old silk routes declined
- West Asia and the Islamic world were displaced as the centralized location of global trade
- the Atlantic and Pacific sea routes become the new focus of global trade



Who Benefited Most From Mercantilism?

- Monarchs.
- Merchant capitalists.
- Joint-stock companies.
- Government officials.



Theories of International Trade

- It measures the wealth of nation by the size of its accumulated treasures i. e. gold & silver.
- Focus is international trade, rather than internal commerce
 - Nationalism essential: promote nation by gain from trade
 - Trade imbalance the object: export more than import



Theories of International Trade

- Wealth (Gold) can be accumulated by encouraging exports and discouraging imports.
- This theory aims at creating trade surplus.
- Limitations:
 - Accumulation of wealth takes place at the cost of another trading partner; a win-lose game & a zero-sum game for global wealth (international trade).
 - Supported only in short run.
 - Overlooks other resources such as its natural resources, manpower & its skill levels, capital, etc.
 - Used by colonial powers as a means of exploitation and not development.



Early Writers

- Niccolo' Machiavelli (1469-1527)
- Jean Bodin (1530-1596)
- Antonio Serra (1580-1650)

Mercantilist Thinkers

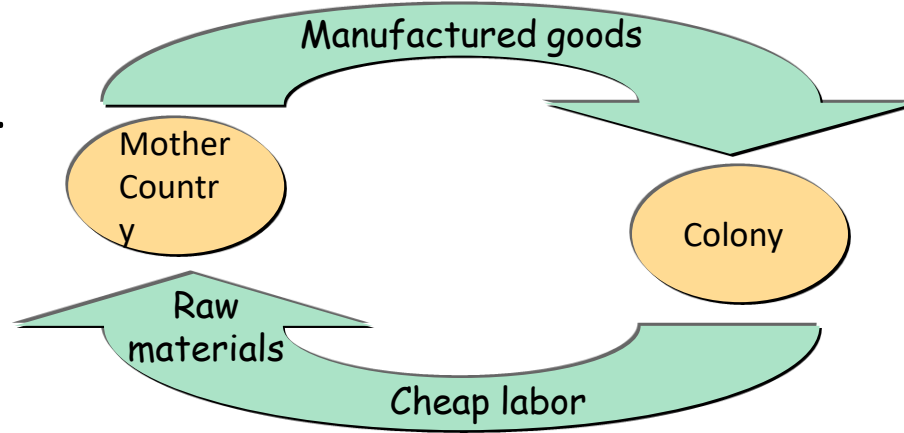
- Josiah Child
- Bernard Mandeville
- David Hume
- Von Hornick
- Thomas Mun

Summary of Mercantilism

1. **"Bullionism"**
2. Each nation must try to achieve economic self-sufficiency.
3. Thriving agriculture should be carefully encouraged.
4. Sea power was necessary to control foreign markets.
5. Impose internal taxes of all kinds.
6. Colonies would provide captive markets for manufactured goods & sources of raw materials.
7. Trade is a **"zero-sum" game**.
8. A large population was needed to provide a domestic labor force to people the colonies.
9. Luxury items should be avoided -They took money out of the economy unnecessarily.
10. State action was needed to regulate and enforce all of these economic policies. -
State-sponsored trade monopolies.



Colonies would provide captive markets for manufactured goods & sources of raw materials.



To Conclude

- Foreign trade as the source of surplus
- No analysis of production
- In practice
 - Added to feudal imposts on commerce
 - Created government-sanctioned monopolies
 - ostensibly to increase national wealth; but
 - often in practice enriched favoured individuals
- Point of criticism and departure for later Physiocrats & Classical Economists, with emphasis upon “laissez-faire, laissez-passer”

Adam Smith (1723-1790)



- Appointed to the chair of logic in 1751 at the University of Glasgow, Scotland.
- In 1752 he transferred to the chair of philosophy.
- On his travels to France, he was influenced by the writings of the physiocrats.
- 1776 → *The Theory of Moral Sentiments and an Inquiry Into the Nature of Causes of the Wealth of Nations* was published.
 - A vehement attack of the mercantilist system.

*Thank
you*

